Meal Kit Customer Churn

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Project ID: 52

Question: Which meal kit companies have the highest churn rates?

Target audience: Customer retention and marketing teams at US meal kit companies.

Project overview

Historical evidence showed weak continued purchasing across major meal kit companies. Blue Apron had the highest month-11 retention in the selected 2022 cohort, while Marley Spoon and Sunbasket had the lowest. Industry surveys suggested that value for money deserved attention and that some customers returned after leaving.

The dataset contains 26 aggregate observations from three reports: Bloomberg Second Measure on 2022 transactions, L.E.K. on a 2016 survey, and Bernstein on US user experiences reported in 2022. Separate Excel source tabs document each report, URL, extracted records and preparation method.

The analysis uses published purchase retention rather than calculating churn. Survey results describe industry experiences and cannot explain a specific company’s retention rate.

1.Company retention differed

Meal kit companies needed customers to keep buying after their first order. This report examines historical retention alongside market position and survey evidence to identify where customer relationships were weakest. The sources cover different populations and periods; they are complementary evidence, not a single time series.

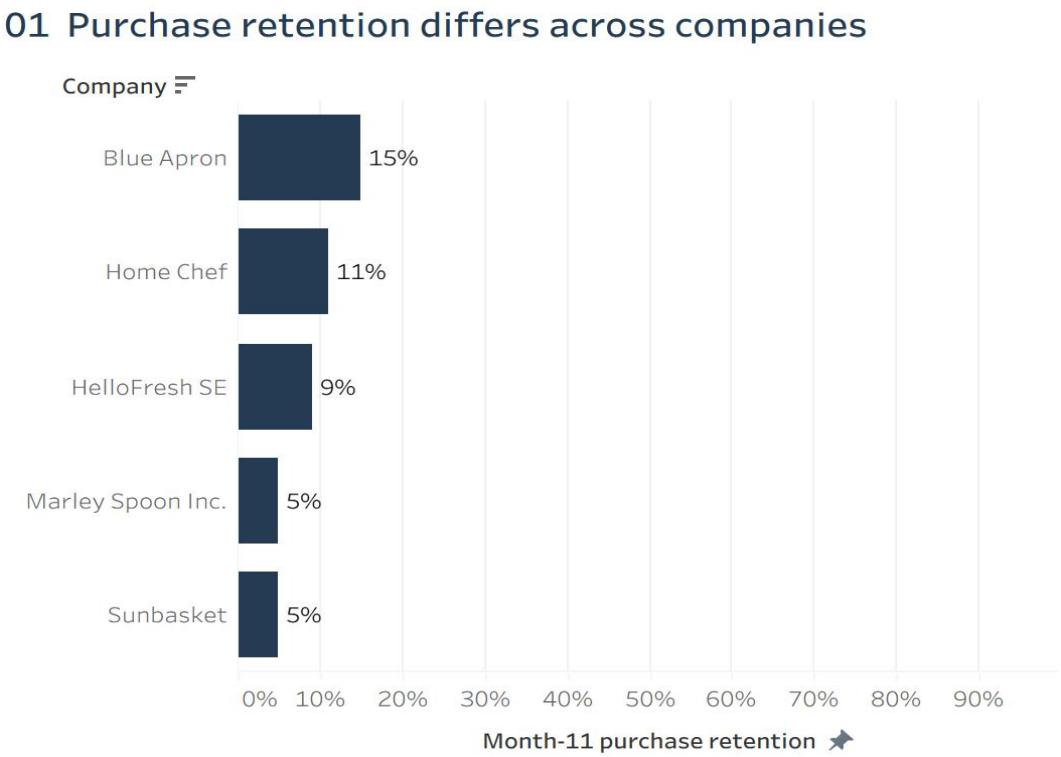


Figure 1. US January 2022 first-purchase cohort, month 11. Source: Bloomberg Second Measure (2023), S1.

Blue Apron retained 15% of the cohort, followed by Home Chef at 11% and HelloFresh SE at 9%. Marley Spoon Inc. and Sunbasket each retained 5%. Lower purchase retention identified weaker continued buying, but did not establish permanent subscription cancellation.

Key takeaway Marley Spoon and Sunbasket had the lowest observed retention in this cohort. Blue Apron led, although its retention was still low.

2.Cost was the leading stated concern

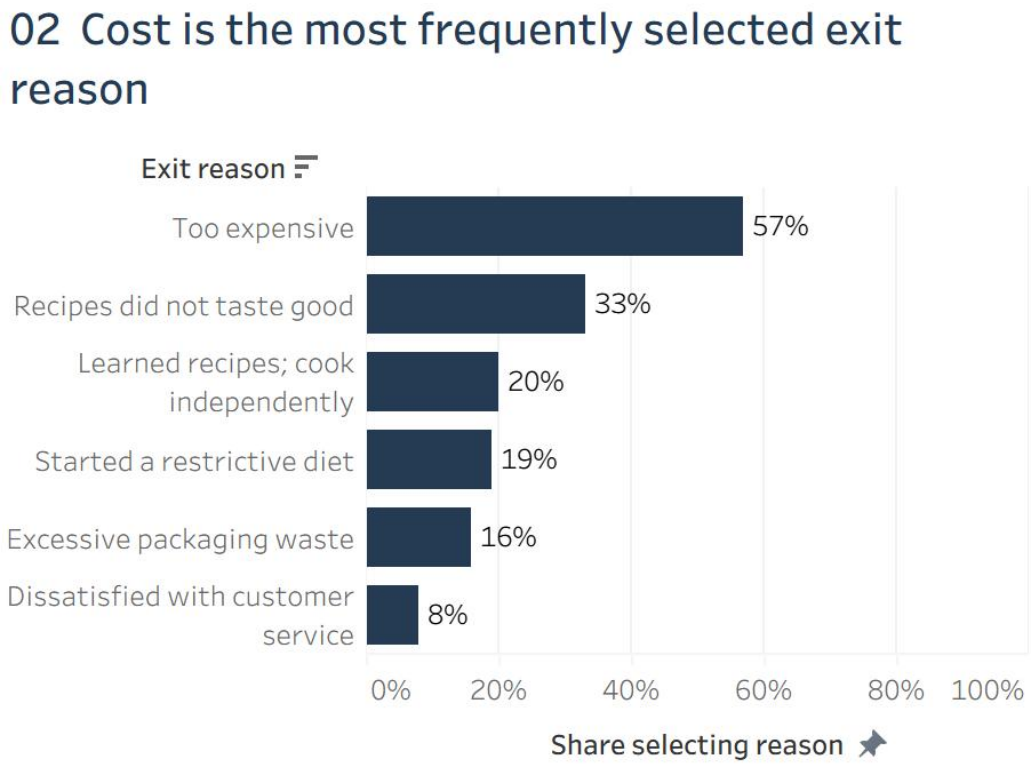


Figure 2. L.E.K. 2016 survey, N=74 millennial prior purchasers unlikely to continue; up to three responses. Figure 3, S3.

Cost was selected by 57% of respondents, ahead of taste at 33%. Independent cooking, restrictive diets, packaging waste and customer service followed at 20%, 19%, 16% and 8%. These responses suggested that improving affordability and meal appeal deserved attention. They were not company-specific cancellation rates.

Key takeaway Price concerns were more common than any other listed reason. This supported investigating perceived value before relying on additional acquisition promotions.

3.Market scale did not ensure retention

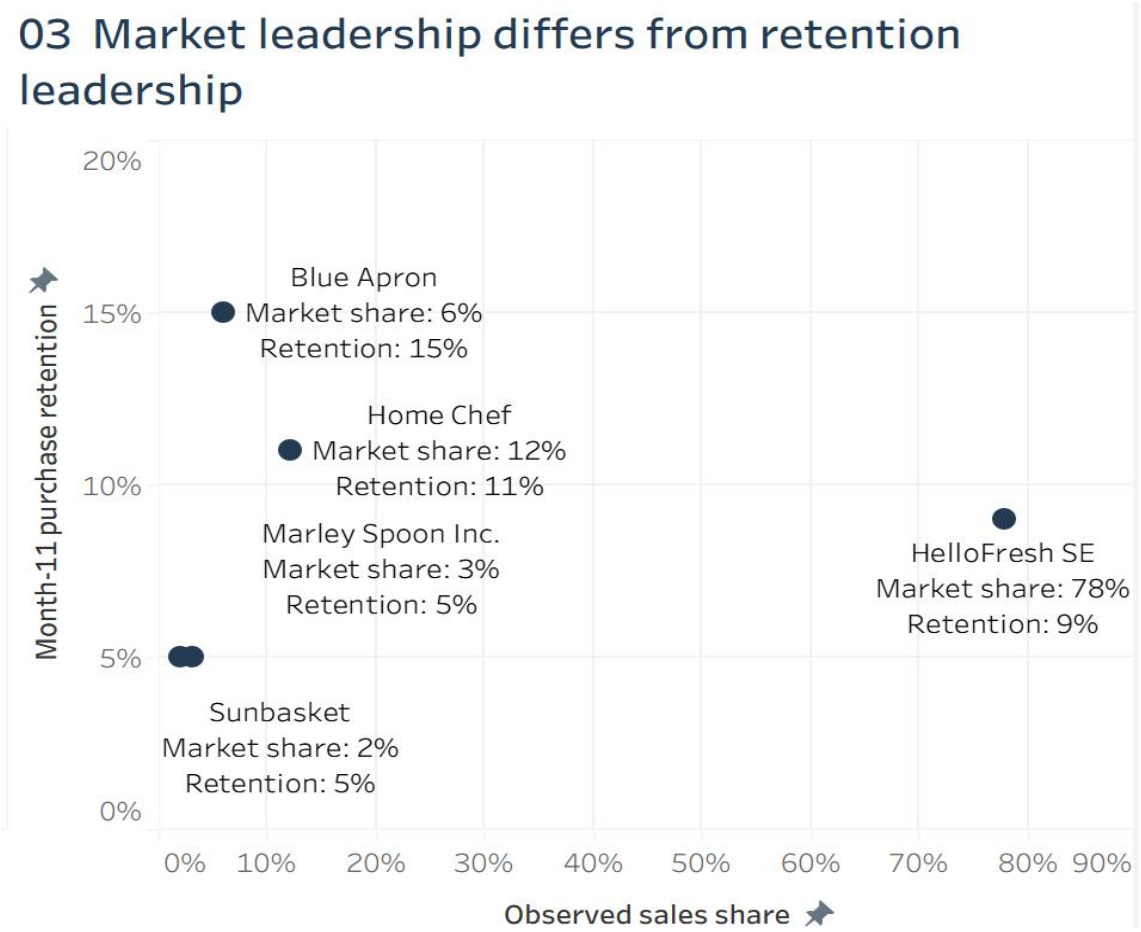


Figure 3. Observed 2022 US website sales share and month-11 cohort retention. Source: Bloomberg Second Measure (2023), S1.

HelloFresh SE accounted for 78% of observed sales but retained 9% of the cohort. Blue Apron represented 6% of sales and retained 15%. The two indicators answered different questions: market share described sales scale, while retention described continued purchasing within a cohort. Company groups included subsidiaries; rounded sales shares totaled 101%.

Key takeaway The largest seller was not the strongest at retaining this cohort. Retention needed its own performance measure.

4.Convenience outscored value for money

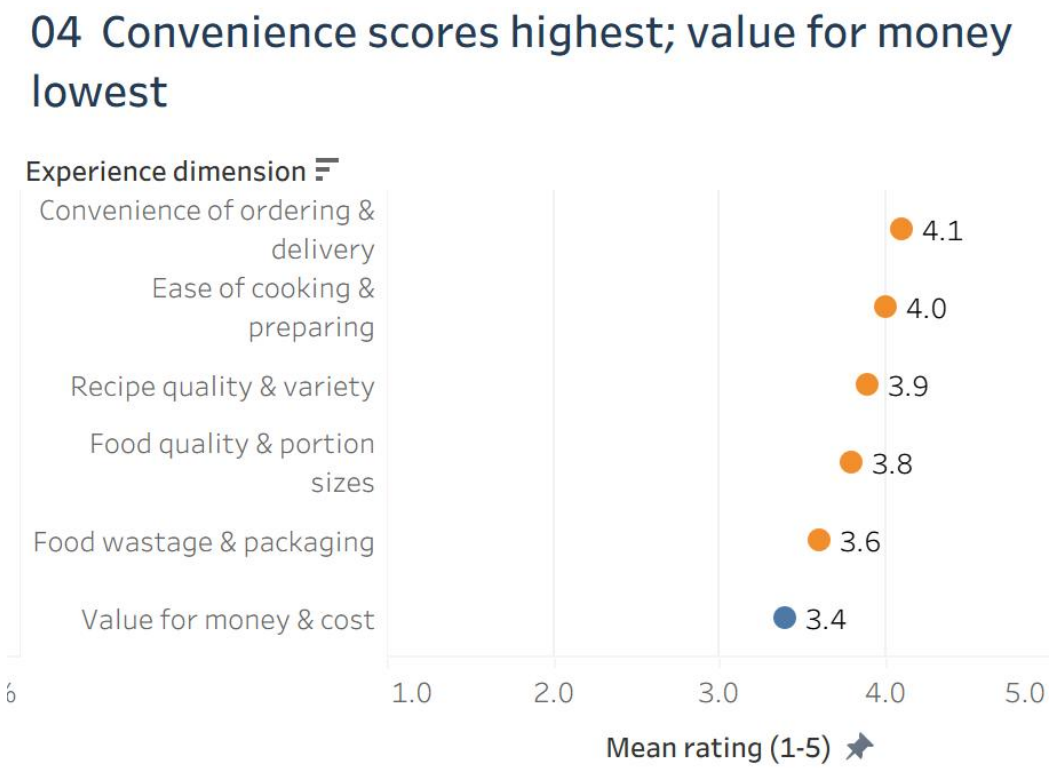


Figure 4. US prior meal kit users, N=327; mean ratings on a 1–5 scale. Bernstein (2022), Exhibit 187, printed p114, S6.

Ordering and delivery convenience scored 4.1, while cooking ease scored 4.0. Recipe variety and food quality scored 3.9 and 3.8. Packaging and waste scored 3.6, and value for money ranked lowest at 3.4. The service's convenience appeared stronger than its perceived economic value.

Key takeaway A useful service could still feel relatively poor value. This complemented the cost concern in the earlier survey, without proving a trend or causal relationship.

5.Some customers returned after leaving

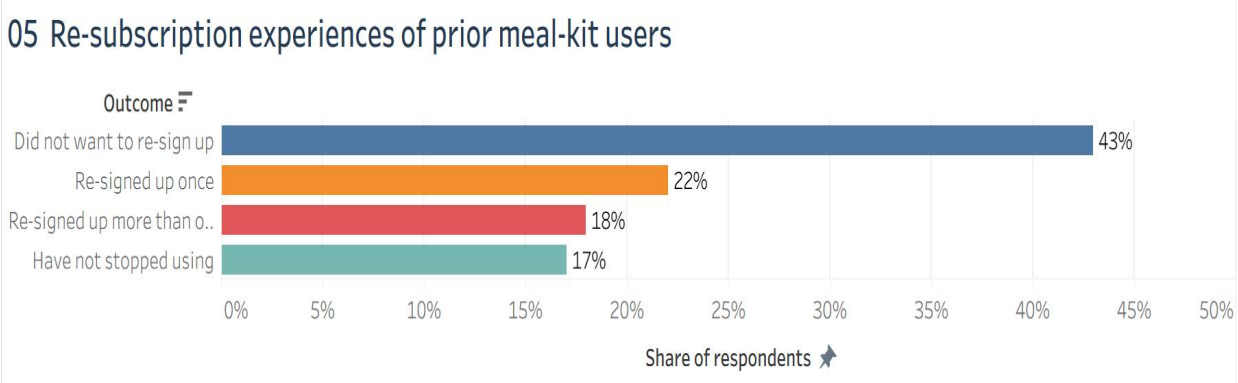


Figure 5. US prior meal kit users, N=327. Bernstein (2022), Exhibit 183, printed p113, S6.

The survey reported that 22% had re-signed up once and 18% more than once. Another 43% did not want to re-sign up, while 17% had never stopped using the service. These were self-reported experiences across meal kit services, not retention measured over a fixed period.

Key takeaway Customer relationships could include interruptions and returns. Retention teams should distinguish continuously active customers from returning customers.

6.Conclusion

The historical evidence pointed to three priorities: measure retention independently of sales scale, investigate value for money, and distinguish customer returns from uninterrupted use. Industry surveys added context on customer concerns and re-subscription, but did not identify the causes of any individual company's results.

7.Sources and preparation

S1 Bloomberg Second Measure. Competition heats up among meal kit companies like Blue Apron and HelloFresh. January 27, 2023.

https://secondmeasure.com/datapoints/meal-kit-competitors-blue-apron-nyse-aprn-hellofresh-customer-retention-market-share/

Extracted five retention rates and five sales shares. Matched company groups within the report.

S3 L.E.K. Consulting. Why a Shakeout in the Meal Kit Industry Is Likely. 2017; survey conducted in 2016. Figure 3, p3.

https://www.lek.com/sites/default/files/insights/pdf-attachments/1948_Shakeout_Meal_Kit_Industry_LEK_Executive_Insights_v2.pdf

Extracted six reason percentages. Preserved the multiple-response definition and N=74.

S6 Bernstein Research. HelloFresh Paying People to Eat. August 3, 2022. Exhibits 187 and 183, printed pp114 and 113.

https://www.bernsteinresearch.com/CMSObjectBR/Files/Recruiting/Hello%20Fresh%20-%20Paying%20People%20to%20Eat%202022.pdf

Extracted six rounded mean scores and four re-subscription percentages. Preserved N=327 and industry scope.

Preparation: Transcribed published aggregate values; stored percentages as decimal proportions and ratings as 1–5 scores. No churn or non-repeat rates were calculated. The sources were retained separately because samples, periods and questions differed.